



Identifying Initial Costs

You will need to spend money on items to get your business up and running. Give some thought to what you need now and what can wait, and balance the cost of the essential items against your available funds.

Assessing your needs

Each business has different setup needs so will require a shopping list depending on the industry, location, and business model. Identify the initial costs required for the basic setup of your business. These start-up purchases could be for assets, such as stock and equipment, or one-off expenses, such as acquiring a license and creating a website. Remember that once your business is up and running, you will also have ongoing expenses (see pp.78–79).

It is not always necessary to buy everything; items can be leased (see box, below), rented, or shared with other businesses. Think, too, about buying reconditioned items, which can be cheaper and are less wasteful for the environment (see pp.100–101).

BUYING OR LEASING ASSETS

Some assets essential to starting your business might be very expensive, such as premises, or be continually updated, such as equipment or software. When deciding what initial purchases you need to make, consider whether it would make sense to buy or lease. If you decide to buy an asset, you own and control it, but will have larger upfront costs and have to pay for ongoing maintenance. If you lease an asset, however, you rent it for a fixed time, spreading payments over regular intervals. You avoid a large initial outlay, and payments may be tax deductible. Leasing is also appealing if there is a high risk of the asset becoming obsolete. However, if you intend to use an asset in the long term, it is generally more cost-effective to buy it than lease it.

INSURANCE, PERMITS, AND LICENSES

Depending on your business, you may be legally required to hold insurance, permits, and licenses in order to operate. Seek advice to ensure your business is compliant.

STOCK

Raw materials and stock need to be bought and stored before you can sell. Buy the minimum amount of materials to meet sales forecasts in the business plan. This avoids spending too much on storage.